

Rivalry among competitors can cause an industry great harm. This occurs mainly by price cuts, heavy advertising, additional high cost services or offers, and the like. This rivalry occurs mainly when:

- There are many competitors and supply exceeds demand. Companies resort to price cuts and advertise heavily in order to attract customers for their goods.
- The industry growth is slow and companies are competing with each other for a greater market share.
- The economy is in a recession and companies cut the price of their products and offer better service to stimulate demand.
- There is a lack of differentiation between the product of one company and that of another. In such cases, the buyer makes his choice on the basis of price or service.
- In some industries economies of scale will necessitate large additions to existing capacities in a company. The increase in production could result in over capacity and price cutting.
- Competitors may have very different strategies in selling their goods and in competing they may be continuously trying to stay ahead of the other by price cuts or improved service.
- Rivalry increases if the stakes (profits) are high.
- Firms will compete with one other intensely if the costs of exit are great, i.e. the payment of gratuity, unfunded provident fund, pension liabilities, and such like. In such a situation, companies would prefer remaining in business even if margins are low and little or no profits are being made. Companies also tend to remain in business at low margins if there are strategic interrelationships between the company and others in the group; due to government restrictions (the government may not allow a company to close down); or in case the management does not wish to close down the company out of pride or employee commitment.

If exit barriers are high, excess capacity can not be shut down and companies lose their competitive edges; profitability is eroded. If exit barriers are high the return is low but risky. If exit barriers are low the